Repayment, Grace Period and Late Payment Charges Policy

In short. Every EMI is due on the date in your repayment schedule. You have a **3-day grace period** after that date: an EMI paid within those 3 days is not late and carries no charge. From the **4th day** after the due date, an EMI that is still unpaid attracts a **flat late payment charge of ₹500**. The charge is applied **once per EMI**, not once per day; it is never compounded and no interest is ever charged on it. A payment goes to the EMI first, then to any late payment charge still owed, and anything left over is credited to your next EMI.

1. Purpose and scope

This policy explains how BusinessFlow Finance collects the equated monthly instalments (EMIs) on its business loans, what counts as a late payment, what a late payment costs, and how every rupee you pay is applied. It applies to every working capital, term, equipment and vehicle loan on our books, whichever way you pay: the NACH auto-debit mandate, a payment link, UPI, NEFT, IMPS or a payment taken by our team. Where your signed loan agreement or Key Fact Statement says something more specific about your loan, the agreement governs your loan; the charges in this policy are the maximum we levy.

2. Your EMI and its due date

Your EMI amount, the number of EMIs and the date each one falls due are fixed in the repayment schedule attached to your Key Fact Statement (KFS). The EMI is calculated on the reducing balance at the annual interest rate stated in your loan agreement, so the interest part of each EMI falls, and the principal part rises, over the life of the loan. The EMI amount does not change during the loan unless you ask us to restructure it (see policy BFF-POL-04) or you choose to reduce it with a prepayment (section 7).

Most EMIs are collected automatically through a NACH mandate on the due date. If the due date falls on a bank holiday, the debit is presented on the next working day and the EMI is treated as paid on time if that debit succeeds. The mandate is the expected way to pay; a reminder or a conversation with our assistant usually happens only because a debit failed or is at risk of failing.

3. The grace period

Every EMI has a grace period of **3 calendar days** after its due date. It is a standard part of every loan, not a concession granted case by case, and there is nothing to request or approve to use it.

- An EMI received on the due date or on any of the 3 days after it is **on time** for every purpose: it is not reported as late and no late payment charge applies.
- If our system assessed a late payment charge before your payment was seen (for example, a UPI payment made on day 3 that reached our bank statement on day 5), and the payment is dated within the grace period and covers the EMI, the charge is **waived automatically** and the waiver is recorded on your account.
- The grace period applies **once per EMI**. It does not carry over to the next EMI and does not stack when two EMIs are late one after another.
- Asking for "a few more days" inside the grace period needs no approval: the grace period already covers you. More time beyond day 3 is a promise to pay (policy BFF-POL-03) or a restructuring request (policy

BFF-POL-04).

4. Late payment charge

Item	Rule
When it applies	An EMI still unpaid on the 4th day after its due date (days past due greater than 3).
Amount	A flat **₹500** per EMI. It is a fixed amount, not a percentage of the EMI or of the loan.
How often	Once per EMI that goes past the grace period, however many days late it is. Not per day, not per reminder.
Interest on it	None. The charge is never added to the principal, never compounded and never bears interest.
How it shows	As a separate charge on your account, against the EMI it is for, until it is paid or waived.
Bounce charges	BusinessFlow Finance does not levy a separate charge for a failed NACH debit. Your own bank may charge you for a returned debit under its tariff; that charge is your bank's, not ours.

This charge is a penal charge in the sense of the Reserve Bank of India's directions on penal charges in loan accounts (August 2023): it is a flat charge for non-compliance with the repayment terms, it is not penal interest added to the rate of interest, it is not capitalised, and it is disclosed in your Key Fact Statement.

4.1 Worked example

Your EMI of ₹14,977 is due on 5 August. You pay ₹14,977 on 7 August: that is day 2, inside the grace period, so the EMI is on time and nothing else is owed. Had you paid on 11 August (day 6), the ₹500 charge would have been assessed on 9 August, your ₹14,977 would have paid the EMI, and ₹500 would remain owed as a late payment charge. Paying ₹15,477 on 11 August would have cleared both.

5. How a payment is applied

Every payment, however it reaches us, is applied in this fixed order:

1. **The EMI that is due** (less any credit already held towards it from an earlier extra payment).
2. **Late payment charges still owed**, oldest first.
3. **Anything left** is an extra payment, credited towards your next EMI unless you ask for it to be used differently (section 7).

When no EMI is due yet (you are paying before the due date), late payment charges still owed are paid first and the rest is credited towards the coming EMI. Paying the EMI keeps the loan up to date even when a charge is still owed: the charge stays on the account until it is paid or waived, but it does not make the loan overdue on its own.

5.1 Paying less than the EMI

A payment smaller than the EMI due is a part-payment towards that EMI. It is recorded and credited, and the balance of the EMI is still due by the same date; the EMI is treated as paid only when the full amount has been received. If the balance is not received within the grace period, the late payment charge applies to that EMI. A formal agreement to pay part of one EMI (at least 70% of it) is covered by policy BFF-POL-04.

6. Days past due and how an account is classified

Days past due (DPD) is the number of days since the oldest EMI still unpaid fell due. Our dashboards, reminders and reports use the same buckets the RBI uses for early-warning classification:

DPD	Status in our records	What happens
0	Current	Reminders only before the due date (heads-up).
1–3	In grace period	"Due now" reminder with a payment link; no charge.
4–30	Overdue (SMA-0)	₹500 late payment charge once; daily follow-up reminders; from 14 DPD the account is also referred to a person on our team.
31–60	Overdue (SMA-1)	Handled by a person on our team alongside reminders.
61–90	Overdue (SMA-2)	Handled by a person on our team; restructuring considered case by case.
More than 90	Non-performing	Classified as a non-performing asset as RBI norms require; upgraded only when all arrears are paid.

Your repayment record, including days past due, is reported to all four credit information companies at the intervals the RBI requires (currently at least fortnightly). An EMI paid within the grace period is reported as paid on time.

7. Paying more than the EMI (prepayment)

You may pay more than the EMI at any time. There is no prepayment or foreclosure charge on any of our business loans. An extra payment is applied in one of three ways; the first is used unless you ask for another:

Option	Effect
Credit the next EMI (default)	The extra amount is held as a credit; your next EMI is reduced by it.
Reduce the EMI	The extra amount reduces the remaining balance and the EMI is recalculated over the months left.
Reduce the tenure	The extra amount removes whole EMIs from the end of the loan; any remainder smaller than one EMI stays as a credit.

For these options, "remaining balance" means the total of the EMIs still to be paid after the current one. Paying the whole remaining balance closes the loan (policy BFF-POL-07).

8. Waiving a late payment charge

Only an authorised person on our team can waive a late payment charge, and only one that is still owed. Every waiver is recorded with who approved it, the date and the reason, and the reason is sent to you. Our assistant cannot waive or reduce a charge and will never say that one will be waived; it can send your request, with your reason, to our team, and you will see the request and our answer under *My requests*. Reasons we commonly accept include a payment that was made on time but credited late by a bank, a NACH debit that failed because of a bank-side error, hospitalisation or a death in the family, and a natural disaster affecting your business. A charge you believe was applied wrongly can also be raised as a dispute (policy BFF-POL-05), which pauses automated reminders until a person reviews it.

9. Review of this policy

This policy is reviewed every year by the Head of Collections and approved by the Board. Any change to a charge is notified to borrowers at least 30 days before it takes effect, and no change applies retrospectively to an EMI already due.

Version	Date	Change
3.1	1 April 2026	Automatic waiver of a charge assessed before an in-grace payment was seen; prepayment options set out.
3.0	1 January 2024	Late payment interest replaced by a flat penal charge, in line with RBI's directions on penal charges.